Solution

Bank reconciliation statement as on 31st December, 2017

Particulars	Amount ₹	Amount ₹
Overdraft as per cash book		10,000
Add: Cheques deposited but not yet credited	5,000	
Interest on overdraft debited by bank	1,000	
Amount wrongly debited by bank	300	6,300
		16,300
Less: Cheque issued but not yet presented for payment	1,000	
Payment received from the customer directly by the bank	500	1,500
Overdraft balance as per bank statement		**14,800**

Illustration 4

Rony is the proprietor of Veena photos. The bank column of cash account of his business was balanced on 31st March 2018. It showed an overdraft of ₹ 12,000. The bank statement of Veena photos showed a credit balance of ₹ 5,000. Prepare a bank reconciliation statement taking the following into account.

(a) The bank had directly collected dividend ₹ 11,200 but was not entered in the cash book.

(b) Cheques amounting to ₹ 9,000 were issued on 27th March, 2018, of which, cheques amounting to ₹ 7,000 were not presented for payment before 31st March 2018.

(c) Cheque book charges of ₹ 200 debited by the bank but not recorded in cash book.

(d) Bank locker rent of ₹ 1,000 debited by the bank but not recorded in cash book.

Solution

Bank reconciliation statement of Veena photos as on 31st March, 2018

Particulars	Amount ₹	Amount ₹
Overdraft as per cash book		12,000
Add: Cheque book charges not recorded in cash book	200	
Bank locker charges debited by bank	1,000	1,200
		13,200
Less: Dividend directly collected by the bank	11,200	
Cheque issued but not yet presented for payment	7,000	18,200
Favourable balance as per bank statement*		**−5,000**

**Note:* Since the balance obtained is negative, it is favourable balance.

Accountancy - Unit-08.indd 164 12/12/2021 6:16:57 PM